PROJECT REPORT

USE OF ACCOUNTING RATIOS IN BUSINESS DECISIONS

An analysis of liquidity, solvency and profitability ratios

Submitted by
S. Shobishree

Submitted to
Glow Logis

Academic Year: 2026

Institution / Organisation:
Glow Logis Company

Topic: Explore how accounting ratios support informed business decisions.

INDEX

Section	Contents
1	Front Page
2	Index
3	Acknowledgement
4	Introduction: meaning, types, formulas and importance of accounting ratios
5	Analysis and Interpretation: illustrative organisation and ratio calculations
6	Findings
7	Suggestions / Recommendations
8	Conclusion
9	Bibliography / References

Note: The numerical company example in this report is hypothetical and is used only to demonstrate ratio calculations. It is not a real company's published financial data.

ACKNOWLEDGEMENT

I would like to express my sincere gratitude to everyone who supported me in preparing this project on “Use of Accounting Ratios in Business Decisions.” This project helped me understand how financial ratios can be used to assess the financial position and performance of an organisation.

I am thankful to authors, accounting educators and professional organisations whose books and learning resources explain financial statement analysis, liquidity, solvency and profitability. These sources helped me develop an understanding of how accounting information can support practical business decisions.

I also appreciate the encouragement of my family, teachers and well-wishers. I have tried to present the topic in a clear and balanced manner and to explain both the usefulness and the limitations of ratio analysis.

Submitted by: S. Shobishree

1. INTRODUCTION

Accounting ratios are mathematical relationships between two figures taken from financial statements. They help convert accounting data into meaningful indicators that can be compared across years, businesses or industry benchmarks. Managers, investors, lenders and suppliers use these indicators to understand an organisation's liquidity, solvency, profitability and operating efficiency.

Ratio analysis does not replace the reading of complete financial statements. A ratio is useful only when the underlying figures are reliable and the result is interpreted in context. Businesses in different industries often have different normal ratio levels, so comparisons should be made with similar organisations and with the company's own past performance.

1.1 Types of accounting ratios and formulas

Category / Ratio	Formula	Meaning / use
Current ratio	Current assets ÷ Current liabilities	Measures short-term ability to meet obligations.
Quick ratio	(Current assets – Inventory – Prepayments) ÷ Current liabilities	Tests liquidity without relying on inventory sales.
Debt-to-equity ratio	Total debt ÷ Shareholders' equity	Shows the relative use of debt and owners' funds.
Interest coverage ratio	EBIT ÷ Interest expense	Indicates ability to cover interest from operating profit.
Gross profit margin	(Gross profit ÷ Revenue) × 100	Shows gross profit earned from sales.
Net profit margin	(Net profit ÷ Revenue) × 100	Shows net profit earned per unit of revenue.
Return on assets (ROA)	(Net profit ÷ Average total assets) × 100	Indicates how effectively assets generate profit.
Inventory turnover	Cost of goods sold ÷ Average inventory	Measures how quickly inventory is sold and replaced.

1.2 Importance for business decisions

- Liquidity ratios help decide whether to delay discretionary spending, improve collections or arrange short-term finance.
- Solvency ratios help management and lenders assess long-term financial risk before borrowing or expanding.
- Profitability ratios help evaluate pricing, production costs, operating expenses and investment performance.
- Efficiency ratios help identify slow-moving inventory, underused assets or weak collection practices.

2. ANALYSIS AND INTERPRETATION

For illustration, this project uses a hypothetical business named Sunrise Traders. The figures below are invented solely for explaining the calculations; they are not taken from a real company or annual report.

2.1 Illustrative financial information

Item	Amount (₹)
Revenue	₹10,00,000
Cost of goods sold	₹6,00,000
Gross profit	₹4,00,000
Net profit	₹1,00,000
Current assets	₹3,00,000
Inventory	₹1,00,000
Current liabilities	₹1,50,000
Total debt	₹2,00,000
Shareholders' equity	₹4,00,000
EBIT	₹1,20,000
Interest expense	₹20,000
Average total assets	₹5,00,000
Average inventory	₹1,20,000

2.2 Ratio calculations

Ratio	Calculation	Result
Current ratio	₹3,00,000 ÷ ₹1,50,000	2.0 : 1
Quick ratio	(₹3,00,000 – ₹1,00,000) ÷ ₹1,50,000	1.33 : 1
Debt-to-equity	₹2,00,000 ÷ ₹4,00,000	0.50 : 1
Interest coverage	₹1,20,000 ÷ ₹20,000	6 times
Gross profit margin	(₹4,00,000 ÷ ₹10,00,000) × 100	40%
Net profit margin	(₹1,00,000 ÷ ₹10,00,000) × 100	10%
Return on assets	(₹1,00,000 ÷ ₹5,00,000) × 100	20%
Inventory turnover	₹6,00,000 ÷ ₹1,20,000	5 times

2. ANALYSIS AND INTERPRETATION (CONTINUED)

2.3 What the ratios suggest

- **Liquidity:** the current ratio of 2.0:1 means current assets are twice current liabilities. The quick ratio of 1.33:1 suggests the business may be able to meet short-term obligations without depending entirely on inventory sales. The actual position still depends on how quickly receivables are collected and whether assets are readily convertible into cash.
- **Solvency:** debt-to-equity of 0.50:1 shows that debt is half of shareholders' equity in this example. Interest coverage of 6 times suggests operating earnings are six times the interest expense. Management should still consider loan repayment dates, interest-rate changes and cash-flow stability.
- **Profitability:** gross profit margin of 40% indicates that ■40 of gross profit is earned for every ■100 of revenue. Net profit margin of 10% indicates ■10 of net profit per ■100 of revenue. Management can use these measures to review prices, purchasing costs and operating expenses.
- **Efficiency:** inventory turnover of 5 times indicates inventory is sold and replaced about five times during the period, based on the given average. Management should compare this with prior years and industry norms to determine whether stock levels are appropriate.

2.4 Business decisions based on ratio analysis

Decision area	Ratio evidence	Possible business decision
Working capital	Current ratio and quick ratio	Improve collection of receivables, plan supplier payments or maintain an appropriate cash reserve.
Borrowing and expansion	Debt-to-equity and interest coverage	Assess whether additional borrowing is affordable before purchasing equipment or opening a new branch.
Pricing and cost control	Gross and net profit margins	Review selling prices, supplier costs, wastage and operating expenses.
Inventory management	Inventory turnover	Identify slow-moving items, adjust reorder levels and avoid tying up too much cash in stock.
Asset investment	Return on assets	Check whether assets are generating sufficient returns and whether underused assets can be redeployed.

Interpretation must consider trends, industry averages, accounting policies, seasonal factors and unusual one-off transactions. No single ratio is enough to make a major decision.

3. FINDINGS

- Accounting ratios simplify complex financial statements into indicators that are easier to compare and interpret.
- Liquidity ratios help assess short-term payment capacity and working-capital requirements.
- Solvency ratios help management and lenders evaluate debt levels and the ability to pay interest.
- Profitability ratios reveal how much profit is earned from sales and how efficiently assets are used.
- Efficiency ratios can help managers identify inventory or asset-management issues.
- Ratios are most useful when compared with prior periods, budgets and suitable industry benchmarks.
- A favourable ratio does not always mean a business is healthy; for example, a high current ratio may reflect excessive inventory or slow receivables.
- Ratio analysis is based on historical accounting data and may not fully reflect future market conditions, inflation, changes in demand or cash-flow timing.
- Business decisions should combine ratio analysis with cash-flow forecasts, qualitative information and management judgement.

The illustrative Sunrise Traders calculations show how ratio results can point managers toward decisions about working capital, borrowing, pricing, cost control and inventory. These results demonstrate a method, not the actual performance of a real organisation.

4. SUGGESTIONS / RECOMMENDATIONS

- Calculate key ratios regularly using accurate and consistently prepared financial statements.
- Compare ratios across several years and against businesses in the same industry rather than relying on a single benchmark.
- Monitor liquidity alongside cash-flow forecasts, receivable ageing and upcoming payment dates.
- Before taking new loans, assess debt levels, interest coverage, repayment schedules and possible changes in revenue.
- Use gross and net profit margins to investigate rising costs, discounting, wastage and operating expenses.
- Review inventory turnover and slow-moving stock to avoid excessive investment in inventory or shortages of popular items.
- Use return on assets and other efficiency measures to assess whether equipment, buildings and other assets are being used productively.
- Check whether accounting policies, seasonal sales and one-time events affect the ratios before drawing conclusions.
- Combine quantitative ratios with customer feedback, market conditions, competitor analysis and business strategy.
- Train managers and staff to understand what each ratio measures and what it cannot prove.

My viewpoint: accounting ratios should be used as an early-warning and planning tool, not as an automatic decision-making rule. A manager should ask why a ratio changed, verify the underlying figures and consider the likely consequences before acting.

5. CONCLUSION

Accounting ratios play an important role in business decision making because they help convert financial statement figures into meaningful measures of liquidity, solvency, profitability and efficiency. Liquidity ratios assess short-term payment capacity, solvency ratios show the organisation's financial structure and ability to service debt, profitability ratios measure returns, and efficiency ratios evaluate how effectively resources are used.

The hypothetical Sunrise Traders example demonstrates how ratios can be calculated and used to consider working-capital management, borrowing, pricing, cost control, inventory levels and asset utilisation. The calculations are useful only when the figures are accurate and interpreted in context.

Ratio analysis also has limitations. It is based mainly on past data, accounting methods can differ, and industry conditions affect what counts as a strong result. Therefore, ratios should be compared over time and with suitable benchmarks and should be used together with cash-flow information, market knowledge and professional judgement.

In conclusion, accounting ratios are valuable tools for informed business decisions when used carefully. They help managers identify strengths and weaknesses, evaluate financial risks and make more evidence-based plans for sustainable business performance.

6. BIBLIOGRAPHY / REFERENCES

The following books and educational resources are suitable starting points for studying accounting ratios. Check the edition used and follow the citation style requested by your instructor.

1. Khan, M. Y., & Jain, P. K. *Management Accounting: Text, Problems and Cases.* McGraw Hill Education. Relevant sections on financial statement analysis and accounting ratios.

2. Maheshwari, S. N., Maheshwari, S. K., & Maheshwari, S. K. *Financial Accounting.* Vikas Publishing House. Relevant sections on financial statement analysis.

3. Subramanyam, K. R. *Financial Statement Analysis.* McGraw Hill. Topics include profitability, liquidity, solvency and performance analysis.

4. Corporate Finance Institute (CFI). Educational resources on financial ratios and financial statement analysis. https://corporatefinanceinstitute.com/

5. AccountingCoach. Explanations and examples of financial ratios and financial statement analysis. https://www.accountingcoach.com/

6. Investopedia. Educational articles on current ratio, quick ratio, debt-to-equity, profit margins and return on assets. https://www.investopedia.com/

Academic integrity note: The worked example is hypothetical. If you use published financial data for a real company, cite its annual report and verify all figures and calculations.